

IAS 36- Impairment

Objective



- Ensure that assets are carried no more than their **recoverable amount**.
- Define how the **recoverable amount** is determined

Ex:
- Carrying amount = 100
- Recoverable amount = 80

➡ Impairment

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IAS 36 applies to:

- ✓ PPE (IAS 16)
- ✓ investment property at cost (IAS 40)
- ✓ intangible assets (IAS 38)
- ✓ goodwill
- ✓ subsidiaries, associates, and joint ventures at cost
- ✓ Assets at revalued amounts



IAS 36 does not apply to:

- ✓ Inventories (IAS 2)
- ✓construction contracts (IAS 11)
- ✓ employee benefit (IAS 19)
- ✓ deferred tax assets (IAS 12)
- ✓ financial assets (IFRS 9)
- ✓ non-current assets held-for-sale (IFRS 5)
- ✓ agricultural assets at FV (IAS 41)
- ✓Investment property at FV (IAS 40)

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Tại 1 DN sản xuất bánh kẹo

Tài sản	Tổn thất theo IAS 36 ???
Thùng bánh, kẹo đang lưu trữ kho	
Nhà kho	
Văn phòng công ty	
Nhà xưởng	
Xe tải chở hàng	
Văn phòng đang cho thuê	
Phần mềm (kế toán, quản lý ...)	

Biết:
- PPEs: lựa chọn mô hình đánh giá lại
- Intangible asset: lựa chọn mô hình giá gốc
- Investment property: lựa chọn mô hình giá trị hợp lý

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1. Identification of Impairment



when?



Carrying amount (CA) > Recoverable amount (RA)

(Accounting records)

(Fair value- cost to sell Value in use)

CA – RA = Impairment loss

1. Identification of Impairment EX:

	Carrying amount	Fair value less costs to sell	Value in use	Recoverable amount	Impairment loss
Asset A	10.000			18.000	-
Asset B	11.000			9.000	-
Asset C	7.000			11.500	-
Asset D	8.500			10.000	-
Asset E	12.750			10.000	-
Asset F	10.000			4.000	-
Asset G	21.000			15.000	-

Carrying amount (CA) > Recoverable amount (RA)

(Fair value- cost to sell; Value in use)

1. Identification of Impairment EX:

	Carrying amount	Fair value less costs to sell	Value in use	Recoverable amount	Impairment loss
Asset A		12.000	18.000	18.000	
Asset B		9.000	13.000	13.000	
Asset C		11.500	n/d	11.500	
Asset D		6.500	7.000	7.000	
Asset E		n/d	16.800	16.800	
Asset F		14.000	12.000	14.000	
Asset G		15.000	10.000	15.000	

1. Identification of Impairment – When?

Indication of impairment → At the end of each reporting period

Intangibles with **indefinite useful life**
Intangibles not yet available for use → **Annual** test for Impairment

Goodwill acquired in combination → **Annual** test for Impairment

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Indication of impairment



External sources

- ✓ *Decline in market value*
- ✓ *Significant changes (Market, technology, legal, economic)*
- ✓ *Increase in interest rates*
- ✓ *CA> market capitalization*



Internal sources

- ✓ *Obsolescence / physical damage*
- ✓ *Significant changes restructuring, discontinuing)*
- ✓ *Internal reporting evidence*

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1. Identification of Impairment- What?

If possible → An individual asset

*If **not** possible* → A cash generating unit (CGU)

Not possible to estimate the **recoverable amount** of the individual asset, because:

- **Fair value less costs to sell** cannot be estimated to be close to the asset's value.
- **Value in use** can not be determined, because of the asset does not generate cash inflows that are largely independent of those from other assets. [IAS 36.66, 67]

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Example



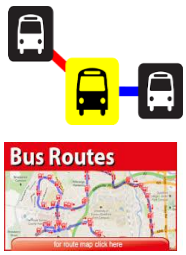
A mining company owns a private **railway** that it uses to transport output from one of its mines.

- The railway now has **no market value** other than as scrap, and
- It is **impossible** to identify any separate **cash inflows with the use** of the railway itself.

Consequently, **if** the mining company suspects an **impairment** in the value of the railway, it should treat the mine as a whole as a **cash generating unit**, and measure the recoverable amount of the mine as a whole.

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Example



A bus company has an arrangement with a town's authorities to run a bus service on four routes in the town. Separately identifiable assets are allocated to each of the bus routes, and cash inflows and outflows can be attributed to each individual route. **Three routes are running at a profit and one is running at a loss**. The bus company suspects that there is an impairment of assets on the loss making route. However, the company will be unable to close the loss-making route, because it is under an obligation to operate all four routes, as part of its contract with the local authority.

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2. Determining recoverable amount.

Higher of asset's / CGU's

- Fair value less cost to sell
- Value in use

If FV less cost to sell impossible to set ➡ RA= Value in use

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2. Determining Recoverable Amount - Note

- *If **fair value less costs to sell or value in use is more than carrying amount**, it is not necessary to calculate the other amount. **The asset is not impaired**. [IAS 36.19]*
- *If fair value less costs to sell cannot be determined, then recoverable amount is value in use. [IAS 36.20]*
- *For assets to be **disposed of,** recoverable amount is fair value less costs to sell. [IAS 36.21]*

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BT 3.4

Impairment ?



1 Tài sản (hạch toán theo mô hình giá gốc) có giá trị còn lại vào 31/12/X0 là 100.000 USD. Tài sản khấu hao đường thẳng, thời gian sử dụng còn lại 3 năm. Giá trị sử dụng dự tính quy về hiện tại 57.250. Thời điểm hiện tại, tài sản này có thể bán được với giá 50.000 USD và chi phí bán 2.000 USD.

CA =

RA =

- Value in use =
- FV – cost to sell =

3. Determining Value in use

Value in use = Present value of the **future cash flows** expected to be derived from an asset/ CGU

- ***Future cash flows*** (Variation)
- ***Discount rate***
  - Time value of money
  - Risk specific to asset
  - uncertainty

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3. Determining Value in use

Future cash flows

Future cash flows

- Assumptions
- Recent budgets/ forecasts
- Extrapolation

include

- Cash inflows from continuing use
- Necessary and directly attributable cash outflows
- Net cash flows from disposal

Not include

- Future restructuring **if not yet committed**
- Improving/ enhancing performance
- Receivables/ Payables provisions or pensions
- Financial activities
- Income tax

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Determining cash flows

IFRS 15

- Two approaches:
  1. **Most likely cash flows** from use and disposal discounted using risk-adjusted discount rate. → Nếu có 2 xác suất xảy ra
  2. **Probability-weighted cash flows** from use and disposal discounted using remaining risk-adjusted discount rate. → Nếu có từ 3 xác suất xảy ra



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Value in use

Future cash flows

Determining cash flows

- Most likely cash flows
- Expected value of cash flows

EX: Estimated cash flows with a **40%** probability they will be $120 and a **60%** probability they will be $80. Value in use?

- **Method 1:** Most likely cash flows = $80. This amount is discounted using a rate that takes into account all risks including the uncertainty of the cash flow amounts.
- **Method 2:** Expected value of cash flows = (120 × 40%) + (80 × 60%) = $96. This amount is discounted using a rate that includes remaining risks.

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PPEs thời gian sử dụng ước tính 3 năm — **Value in use ?**

	NCF (40%)	NCF (60%)
Năm 1	20	15
Năm 2	18	13
Năm 3	25	18

NCF

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PPEs thời gian sử dụng ước tính 3 năm

	NCF (30%)	NCF (40%)	NCF (30%)
Năm 1	20	15	30
Năm 2	18	13	28
Năm 3	25	18	36

Value in use ?

	NCF
Năm 1	
Năm 2	
Năm 3	

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3. Determining Value in use

Discount rate

Discount rate is Pre – tax rate

be determined

Time value of money and Risk specific to asset

- Which the future cash flow estimates have not been adjusted.

1. Market rate

2. When **no** market rate:
   - *-Weighted average cost of capital (WACC)*
   - *- Incremental borrowing rate*
   - *-Other market borrowing rate*

Market rates for equity are usually stated post-tax
Pre-tx rate = Post-tax rate /(1-tax rate)

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3. Determining Value in use - EX





1. Future cash flows → *2. Discounting*

Year	Future cash flows	Discount factor at 10%	Present value
1	3.000	0,909	2.727
2	2.800	0,826	2.314
3	2.500	0,751	1.878
4	2.000	0,683	1.366
5	1.200	0,621	745
Total	11.500		9.031

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BT 3.4

Impairment ?



1 Tài sản dự tính tạo ra luồng tiền thuần là 20.000 USD mỗi năm trong vòng 3 năm tới, sau đó được thanh lý với giá 10.000 USD. Tỷ lệ chiết khấu dự tính 10%.

	NCF	10%	PV
Năm 1	20.000		
Năm 2	20.000		
Năm 3	30.000		
Value in use =			

4. Measuring & recognizing impairment loss

Cost model	Debit: P/L – Impairment loss Credit: Asset (adjustment)
Revaluation model	Debit: OCI (Revaluation surplus) *Or* P/L (Impairment loss) Credit: Asset

Adjust depreciation for future periods to new carrying amount

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5. Cash Generating Unit (CGU)

IAS 36.105

*CGU is the **smallest identifiable group of asets** that **generates cash inflows** largely **independent** from other*

CGU shall be identified consistently

CA of CGU (include GW) > **RA** of CGU

Impairment loss

be allocated — ***Basis: carrying amount*** *(*pro rata)

the assets of CGU

first, goodwill
then, the other assets

the highest of:
(a) its fair value less costs to sell (if determinable);
(b) its value in use (if determinable);
(c) zero.

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BT 3.1

Impairment ?



1 công ty sở hữu 6 tuyến xe bus như là 1 đơn vị tạo tiền. Vào ngày 31/12/X0, giá trị ghi sổ tổng tài sản của đơn vị tạo tiền và lợi thế thương mại lần lượt là 90.000 USD và 10.000 USD. Giá trị có thể thu hồi của đơn vị tạo tiền là 75.000 USD. Trong đó, đơn vị tạo tiền gồm 2 tài sản A và B có giá trị ghi sổ lần lượt là 60.000 USD và 30.000 USD.

CGU

Carrying amount =

Recoverable amount =

⇨ Impairment

Goodwill = 10.000
Asset A = 10.000
Asset B = 5.000

6. Goodwill



Testing **of CGU with Goodwill**

Testing **annually** or whenever there is an indication of impairment

Goodwill

Allocation to CGUs



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7. Corporate assets



Building of a headquarters
Division of the entity
EDP equipment
Research centre.

RA of an individual corporate asset cannot be determined ➔ RA is determined for the CGU or group CGU units to which the corporate asset belongs.

- Identify all the corporate assets that relate to the cash-generating unit
- CA of a corporate asset can be allocated on a reasonable and consistent basis to that CGU.
- compare the CA of CGU (including CA of the corporate asset) with RA of CGU.

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8. Reversing an impairment loss

Is there any indication that impairment loss no longer exits?



External sources

- ✓*Increase in market value*
- ✓*Significant changes (Market, technology, legal, economic)*
- ✓*Decrease in interest rates*



Internal sources

- ✓*Significant changes (restructuring, enhancement)*
- ✓*Internal reporting evidence*

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6. Reversing an impairment loss

shall be reversed if and only if when change in estimates to determine RA

the amount or timing of cash flows
the discount rate;
components of fair value less costs to sell

✓ Individual asset	✓ CGU	X Goodwill
- ***Increased*** *CA <= **original** CA* *- P/L, or revaluation increase* *- depreciation: new CA* *[IAS 36. 117-120]*	*- Allocation to assets pro rata (No goodwill)* *CA of asset shall not be increased above the lower of: RA & Original CA*	No reversal

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